



Inside This Issue

Should  
Insurers  
Increase  
Equity  
Alloca-  
tions

by  
Carl Terzer

**Increasing** equity allocations generally means increasing portfolio risk and this has been quite a bumpy year for investors in equity markets. The US stock market started off poorly, mainly attributable to US economic concerns and the FED's raising of rates in December of last year. After a brief recovery, another market shock was caused in late June by the British vote to leave the European Union setting off another sharp decline in the US and global stock markets.

Since then stocks have once again recovered,

and are setting new record highs as they continue the long upward march that began shortly after the 2008 crisis. Barring any other unforeseen shocks, the now common practice of "buying the dips" provides some degree of confidence that a slow, bumpy market rise could continue.

Much has been written about this multi-year equity bull market as being "long in the tooth" and overdue for a major correction. Why then are so many insurers interested in increasing allocations to stocks? And, what has continued to drive US

equity markets higher? Fundamental market drivers appear to be absent. Corporate earnings aren't strong, the economy isn't booming, and stock prices aren't cheap.

Outside of corporate stock buy-backs, which have contributed immensely to market activity, the primary stimuli appear to be external to the US stock market.

**Pumping up US stock prices**

Perhaps counterintuitively, it is the bond markets world-wide and foreign exchange markets that have been key drivers of the US

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Economic Review

Economic  
Review

by  
Boyd  
Watterson

**THE MACRO VIEW:  
Monty Python Redux**

**Leave** it to the British to hark back to their classic comedic troupe Monty Python and the infamous "And now for something completely different." Following the sharp first-quarter rebound from global recession fears and risk market implosions, the second quarter meandered along in a rather sanguine fashion. This fairly benign state of affairs abruptly halted on

June 23 with the British "Brexit" vote. With a "Remain" vote priced into markets, the British pound plummeted and global stocks collectively fell more than \$3 trillion before a relief rally kicked in. Investors reflexively sought the safe haven of sovereign debt, driving rates to near-record lows.

It will take a minimum of two years for the UK to formally separate from the EU, a process for which no historic precedent exists. UK leadership is in flux, and the path forward is unclear. The Bank of England cautioned that the country may slip into recession. Many global financial institutions and businesses are expected to relocate to other major European hubs. As employees and others depart, UK property prices could fall up to 20% by some estimates. And if other EU countries agitate to follow suit, heightened levels of

***“...a meager 1.5% yield has become relatively un-attractive for insurers seeking to maximize income particularly vis-a-via the average dividend yield for the Standard & Poor’s 500-stock index of about 2.1 %.”***

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volatility will linger.

Some market commentators suggested the Brexit vote would surely trigger a global financial crisis. We are skeptical, but the EU withdrawal process will be extended and fraught with uncertainty. Three potential paths seem to be emerging: 1) a relatively smooth reentry of the UK into the global trading system; 2) a disruptive separation as the EU seeks to use the UK as an example to

Most US companies lack substantial UK exposure, although prolonged stock market volatility could dampen consumption and renewed dollar appreciation could weaken exports. The biggest risk Brexit poses at the moment is uncertainty.

### **GROWTH: Plateauing at a Lower Level**

What we know for sure is

easing growth at a lower level and more persistent disinflationary pressures across the developed markets. Global growth expectations have been downgraded to 2.25% (vs. 2.50%) due to the uncertainty surrounding the Brexit workout coupled with a modest downshift in China’s growth and more acute weakness in the emerging markets. In the US, we have lowered our central growth target to 1.75% (vs. 2.0%). Growth will be supported by domestic demand, but tempered by weak domestic investment and lower global activity.

If we are correct in our forecast that there is no recession on the immediate horizon, the economy will enter its eighth year of expansion. Although previous business cycles have averaged 6.2 years, more recent business cycles have lasted roughly eight years. The current expansion still has room to build on the progress made given the lack of economic excesses (e.g., inflation, extreme supply and demand imbalances, accelerating and excessive leverage) that typically characterize the end of an economic expansion.

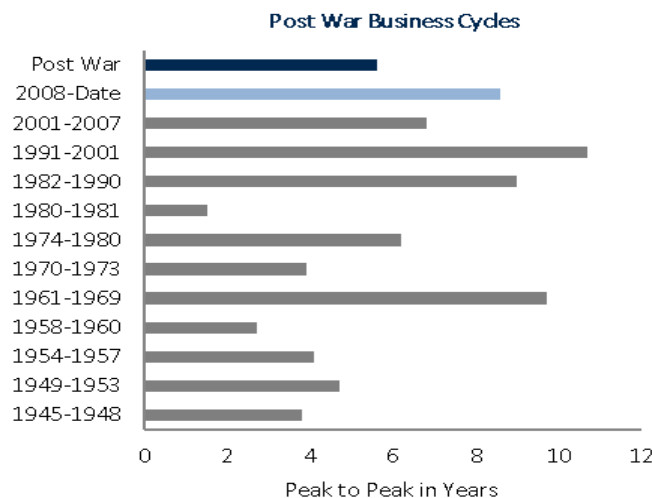
### **INFLATION: Poised to Trend Higher**

Although global disinfla-

discourage further defections; or, 3) additional EU departures—think “Departugal, Italeave, Czechout, Oustria, Finish, Latervia and Byegium” (conversely, Scotland may leave the UK to rejoin the EU).

Over the long-term, Brexit’s impact on the US is not expected to be significant.

the uncertainty that will be imposed on global markets and with that, the ensuing caution of economic agents. That caution will suppress growth measures in the UK and the EU, and will filter through the global economy. It will serve to reinforce the notion of plat-



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tionary pressures will persist, in the US we still expect a modest inflection higher. Domestic consumption has strengthened, and labor market conditions in the US are biased to improve, suggesting continued but very modest upward pressures on wages. Inflation is projected to fall short of the Fed's 2.0% target in the near term, but the disinflationary impacts of a stronger dollar and declining oil prices are likely to diminish over the next two to three years, allowing inflation to breach 2.0% over a medium term horizon.

### **MONETARY POLICY: The Gravitational Pull of Lower/Negative Rates**

In the forward environment, central banks will continue to take center stage by providing liquidity and policy support. However, given the recognized and diminishing marginal impact of monetary policy, more dramatic policy measures may be considered. Such measures may include the use of "helicopter money" in Japan and "QE infinity" in Europe.

Under any likely course of monetary policy, low and/or negative policy rates will persist in an effort to provide even incremental support for financial markets and to cushion the economic fallout from Brexit.

### **INTEREST RATES: Low, for Longer**

The Brexit vote solidified the Federal Reserve's penchant for patience. We expect at most one rate hike this year. Still, we would not be surprised to see the Fed remain on hold into 2017. Therefore, it's a low-for-longer policy environment. As such, the gravitational pull of official rates will lower the trading range for longer-term interest rates. We now see 10-year Treasury rates in the 1.25%–2.25% range over the medium term, with a near-term trading range of 1.25% to 1.75% likely.

#### **2016 Expected Returns**

|                        |               |
|------------------------|---------------|
| Broad Investment Grade | 4.00% - 5.00% |
| Real Estate (GSA)      | 6.00% - 8.00% |
| Domestic Equities      | Flat          |

### **FIXED INCOME:**

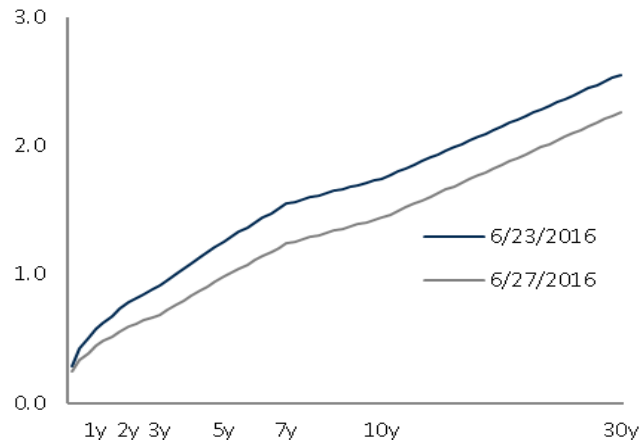


Gregory H. Cobb is co-Director of Fixed Income with responsibility for directing the development of broad-market investment strategies. Prior to the integration in 2010 of Sovereign Advisors into Boyd Watterson, Greg served as Sovereign's CIO and Director of Portfolio Management. Greg holds a BA from the University of North Carolina at Chapel Hill. Greg is a member of the CFA Institute.

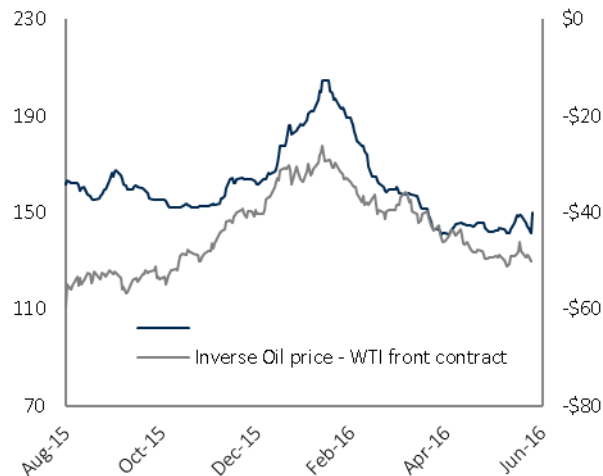
***“Although global disinflationary pressures will persist, in the US we still expect a modest inflection higher.”***

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**Figure 1**  
**Treasury Yield Curves**  
(The close before Brexit and 2 days after)



**Figure 2**  
**Credit Spreads and Inverse Oil Prices**



### Fed Vigil, and Brexit on the Horizon

The second quarter of 2016 began with a Fed vigil as investors parsed the employment and inflation data, trying to pinpoint the timing of the next 25 bps increase in the fed funds rate. Great Britain's referendum to remain in the European Union

hovered distantly on the horizon. Treasury yields drifted higher across the curve, anticipating a near-term Fed rate hike. Major spread sectors—high yield and investment-grade credit, MBS, ABS and CMBS—tightened to various degrees, reflecting investors' ongoing appetite for risk assets.

An unexpected and surprisingly weak May unemployment report, released in early June, changed all that. Treasuries rallied sharply, slowing the broad-based spread sector tightening. The real market shock, however, came a couple of weeks later in the form of Great Britain's vote to exit the European Union. Brexit sparked a dramatic flight to quality that drove 10-year Treasury yields into the 1.40s (Figure 1), a level not seen since mid-2012.

### Risk Sectors: Unabated Appetite for Risk

Credit spreads have tightened significantly from the peak levels experienced in mid-February, as shown in Figure 2. Demand for risk assets has been spurred by attractive valuations, a turnaround in oil prices, and the ongoing search for yield. Spread product outperformed almost entirely across the board, with the outperformance most significant in lower-quality and longer-maturity securities. High yield bonds, in particular, performed very well during the second quarter. Mortgage-backed securities had somewhat of a neutral quarter, with only a few basis points of excess return, whereas ABS

## Economic Review

and CMBS continue to add value in the short-maturity duration buckets. Strong credit technicals have outweighed modestly deteriorating fundamentals, keeping credit spreads range-bound for the time being.

### Outlook: An Uncertain Landscape

We continue to defensively build yield in the portfolio by concentrating exposures in the front end of the yield curve and focusing on lower-volatility securities. If post-Brexit uncertainty pushes spreads wider, we will consider increasing our credit exposure to take advantage of more attractive valuations. We believe the evolving economic conditions will now keep the Federal Reserve on hold for the time being, a shift from our first

quarter viewpoint when a June or July timeframe was deemed most likely.

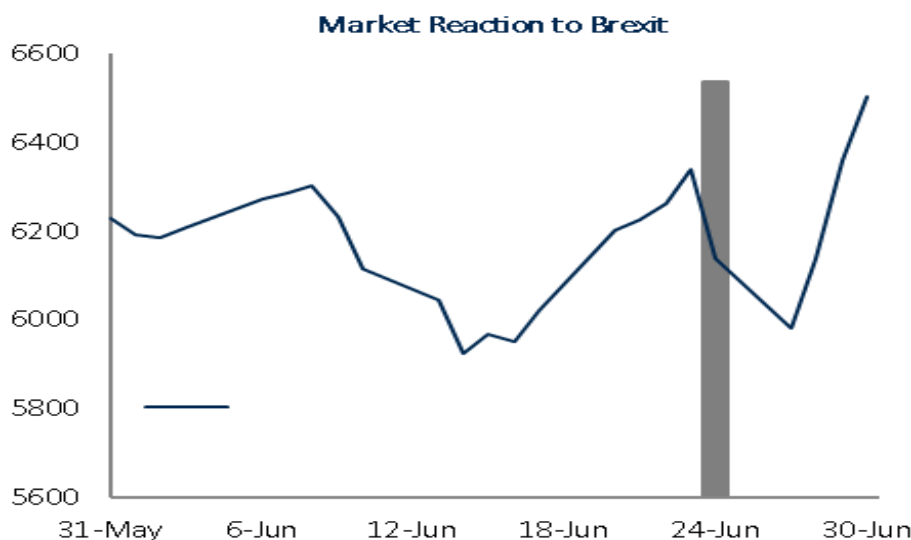
To date, bonds have had a very good year. During the first six months of 2016, broad market bond indexes produced returns in excess of most annual forecasts formulated at the year's inception. The Barclays US Aggregate Index, a widely followed fixed income index, posted a return of 2.21% for the quarter and 5.31% for the year to date. That said, although looming market uncertainties are likely to support a bid for safety for the foreseeable future, it would not be unrealistic for rates to drift higher by year's end, and for returns to weaken from current levels.

### EQUITIES: Limited Upside

In the aftermath of the UK vote to exit the European Union, equity investors struggled to assess the impact of Brexit. The S&P 500 initially plunged into negative territory before investor sentiment rebounded, pushing the Index on the final day of June to a gain of 2.5% for the quarter and 3.8% year to date. The rally from first-quarter lows has led to full valuations, regardless of the metric used.

Share buybacks and lower commodity costs lent support to stock prices, yet heightened growth concerns during the first-quarter reporting season led to an additional 2.5%

reduction in the 2016 consensus EPS estimate, to \$118 from a \$133 consensus forecast in September 2015. Ongoing weakness in the commodities complex has resulted in operating margins falling to their lowest level since 4Q13. We may see an increase in consensus EPS expectations in 2H16 (and particularly 2017), however, given that the worst appears to be past for the energy complex. Still, we continue to believe that upside potential for the S&P 500 is limited for 2016. There is little room for additional multiple expansion, and earnings increases are expected to be in the low single-digits. Limited earnings growth and political uncertainty should hold stocks back for most of the year.



We continue to favor the consumer discretionary, health care, and technology sectors, while remaining cautious on the consumer staples (rich valuations) and materials sectors (China's slowing growth).



# Should Insurers Increase Equity Allocations?

Figure 1: 10-Year Treasury Yields (8/1/13- 8/1/16)



stock market's success.

With regard to bonds, the chart below shows the downward trend of 10 Treasury yields (our proxy for the bond market) over the last 3 years.

Most investors understand that the Fed and other central bank policies have created extensive market distortions over recent years. For example, the 10-year Treasury has had an average yield of more than 6 percent since 1965 but has fallen to less than 1.5 percent today. As bonds yields fall, their market

values rise, creating an environment in which bonds look very expensive. Furthermore, a meager 1.5% yield has become relatively unattractive for insurers seeking to maximize income particularly vis-a-vis the average dividend yield for the Standard & Poor's 500-stock index of about 2.1 %.

Looking at the international bond situation, our low 1.5% yield is attractive given the fact that more than \$13 trillion, about 1/3 of the developed countries' sovereign debt, now offers negative yields! What an illogical investment proposition: an investor buys a bond that is almost sure to

lose money. In fact, the only way to make money would be for a calamity to strike. These bond yields would need to drop even further negatively to order to drive up bond prices for investors to experience a positive return. Of course, these circumstances would almost assuredly require severe market turmoil bordering on economic or market collapse.

Therefore, we can see why both US and Global Fixed income investors find more attractive current income/yield opportunities in US stocks.

Turning our attention to the impact of foreign exchange, the strong dollar has also impacted the US stock market rise. The

chart below shows the rather dramatic rise of the US dollar versus the Euro.

The illustrated affect means that when foreign earnings in euros or pounds translates into fewer dollars, US stocks with predominantly domestic revenue streams usually benefit. For global stock investors, any market that protects earnings from exchange -rate shifts becomes especially attractive. Therefore, the stability of a strong and strengthening dollar tends to reallocate foreign equity capital to US equity markets.

The US and global hunt for yield has caused capital inflows enabling the US stock market to set new records. However, it has also created distortions that should be of concern. For example, the actual S&P sectors that have benefited the most are the higher dividend producing sectors such as telecom, utilities and to a lesser extent, financials. No surprise there! For example, American utility and phone company stocks that pay higher dividends, relative to the 2.1% offered by the average of all S&P sectors, have seen stock prices soar with both

# Should Insurers Increase Equity Allocations?

EUR per 1 USD

19 Aug 2011 00:00 UTC - 17 Aug 2016 21:15 UTC  
USD/EUR close: 0.88590 low: 0.68853 high: 0.95280



Source: XE Currency Charts

sectors rising more than 20 % this year.

## Insurers need for yield...and caution

In an effort to offset falling current income due to diminished bond yields, many insurance companies face the unpleasant proposition of considering an increase in the risk of their bond portfolios by either extending duration or lowering credit constraints. Neither option has a compelling risk-return trade-off. That is, insurers would generally not be sufficiently compensated by extending duration or lowering credit within their investment-grade core bond portfolios to offset the increased risk. Instead

they are seeking to add to equity positions accepting the volatility in return for the higher yield of dividend producing stocks.

Therefore, as insurers and other investors allocate more capital to equity sectors for current income/yield, Dividend Achievers or Dividend Aristocrat strategies have become overvalued. Opportunities to increase yield in this manner have been quickly arbitrated away with stock price increases making the prospect for a strong risk/reward case for insurers rather unappealing at this point in time.

## The risk of increased equity exposure

For insurers, a check on the correlation of asset and liabilities should be com-

pleted. Enterprise wide-Risk Management (ERM) practices are important in determining appropriate asset allocations. Chasing yield seldom works out as a successful long term strategy. Tactical asset allocation strategies often require perfect timing for entry and exit to and from an asset class and we know that market timing is generally a loser's game.

Adding risk by reallocating to equities may be right for one company and wrong for another. Using ERM techniques, and thinking as long term investors, insurers can determine whether or not they have the risk tolerance as well as the financial strength to accommo-

date the increased volatility/risk of such allocations. Macro events, such as a recession, a surge in inflation, an unexpected rise in interest rates or a major political shock or natural disaster could wreak immediate damage to the portfolio, or worse, to the entire company.

Since many of the high stock valuations, particularly with high dividend payers, doesn't make sense right now from a fundamental perspective, insurers contemplating such allocation now could be disappointed. The market has a way of arbitraging out opportunities and punishing late arrivers. Following

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the herd usually means being late to the party! However, some opportunities do exist in outlying areas such as emerging market equity, Asian equities ex-Japan, global infrastructure and private equity, but these would be more total return rather than current income/yield focused.

Many insurers have decided to add risk incrementally through other asset classes with low correlations to their primary stock and bond portfolios. ERM and asset allocation optimization results for many of these more "current income-focused" asset classes, such as convertibles, high yield, emerging market debt, REITs, MLPs, Defensive Equity/covered call writing, etc., has indicated compelling risk-adjusted return results

over longer investment time horizons as well as improvement to short term cash flows. In addition, incrementally adding the correct combination of low or uncorrelated asset classes usually delivers stronger and more stable long-term yield improvements. Of course, tactical timing of the implementation of the new allocations requires skill along with some luck. We would not suggest timing the market by entering and exiting these asset classes with frequency. Focusing on longer term yield improvement is a more proven method for investment success.

## Upcoming Events

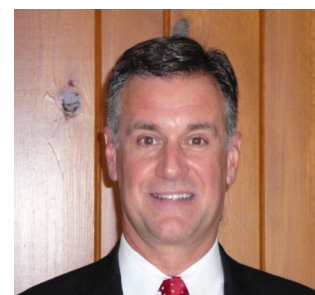


CapVisor will be exhibiting at the **SCCIA Annual Conference** at the Mills House in Charleston on Sept 13-15. Please stop by to meet our newest Associate, Rachel Libowitz. Carl Terzer will also be speaking at a pre-conference session.

Look for CapVisor as an exhibitor at **NAM-IC's Annual Convention** at the Vancouver Convention Center. The event takes place Sept. 25-

28. Please stop by booth # 814 and say hi!

Carl will be speaking at the **CIC-DC Conference** Oct. 18-19 at the Loews Madison Hotel In Washington DC. We hope that you can make it!



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